

cross the line. (This can happen with ATM cards too; see Chapter 4 for details.) They might also use this as an excuse to raise your interest rate or even lower your credit limit going forward.

- **Big Brother is watching (and raising your rates).** Credit companies have gotten so strict about monitoring cardholders' activity that they can detect late payments on any loan you have—even accounts with completely different lenders. As a result, messing up on one card can cause your other issuers to jack up interest rates on your future purchases to 30% or even higher. New regulations prohibit these issuers from raising rates on your *existing* balances.
- **Stay away from store credit cards.** Department store salespeople will often ask you that enticing question: “Would you like to open a store credit account? You’ll get a 10% discount on your entire purchase.” Don’t do it! Interest rates on store cards are generally 20% or more—much higher than the national average. This means that if you put a \$500 shopping spree on a store card to get the 10% off, and then pay only the minimum on your bill each month, you could easily end up spending an extra \$400 in interest. That’s one costly \$50 discount. If you’re sure you can pay off the purchase immediately and your starting purchase is truly large, it might be worth it, but otherwise use your own low-rate card.

MEMBERSHIP HAS ITS PRICE

Traditional American Express cards may look like credit cards or debit cards, but they’re actually a different species of plastic: **charge cards**. Charge cards work on a “pay-in-full” system, which means that you have to pay your bill completely at the end of every month, instead of carrying a balance. If you don’t pay every cent you owe, you’ll get hit with late fees, and eventually your card will